CARRON BUSINESS ADVISORY | SPECIAL REPORT

COULD YOU ACTUALLY SELL YOUR BUSINESS?

What an owner-dependent SME is really worth

Could You Actually Sell Your Business?

What an owner-dependent SME is really worth

A profitable business is not automatically a saleable business. If the customers, pricing decisions, supplier relationships, operating knowledge and management authority still sit mainly with the owner, a buyer may see an income stream that leaves when the owner does.

AUGUST 2026 • EDUCATIONAL SME FINANCE REPORT

General business and financial education only. This is not tax, legal or valuation advice.

Executive Summary

A buyer pays for future performance that can transfer

The central issue is not how hard the owner has worked or what the business earned while the owner was present. It is what earnings, relationships and operating capability are likely to remain after ownership changes.

- Start with maintainable earnings after a fair cost for replacing the owner's operational roles.
- Test whether customers, staff, suppliers, knowledge and decision authority sit in the business rather than one person.
- Expect weak transferability to affect price, payment terms, handover requirements or whether a buyer proceeds.
- Prepare early enough to prove management depth, customer continuity and reliable evidence across several reporting periods.

CENTRAL BUYER QUESTION	What earnings, relationships and operating capability will remain when the owner steps away?

EARNINGS	OPERATIONS	CUSTOMERS	CONTROL
Profit after a fair replacement cost	Decisions and relationships beyond one person	Customers and contracts likely to continue	Records that withstand buyer scrutiny

For SME owners considering a third-party sale, management buy-out, family succession or a future exit.

REPORT INDEX

Contents

A guide to the saleability questions, worked example, preparation plan and management decision record contained in this report.

THE REPORT IN ONE SENTENCE	A buyer pays for future performance that can transfer - not for the owner's past effort, sacrifice or personal presence.

Important tax boundary

The 2026 CGT change is context only. This report does not give tax advice, calculate tax, assess eligibility or recommend a structure. Obtain transaction-specific advice from a SARS-registered tax practitioner.

MAIN ARTICLE

Buyer Risk and Deal Terms

The tax change is topical. Saleability is the real issue.

With effect from 1 March 2026, the lifetime exclusion for qualifying small-business capital gains increased from R1.8 million to R2.7 million, and the small-business asset-value ceiling increased from R10 million to R15 million. These are conditional statutory limits, not a tax rebate or a promise that a sale will be tax-efficient. The commercial question remains whether the business can be sold on acceptable terms.

KEY CONCLUSION	The value gap often begins with one calculation: sustainable earnings after the owner's operational roles have been replaced at a fair market cost.

What the owner should establish

- Whether earnings remain credible after normalising once-off items, owner costs and replacement roles.
- Whether customers, staff, suppliers and operating knowledge will remain through a change of ownership.
- Whether the management team can price, deliver, collect cash and solve problems without daily owner intervention.
- Whether the financial, tax, legal and operational records can substantiate the seller's claims.
- Whether contracts, licences, intellectual property and key commercial arrangements can transfer or survive a change of control.

How buyer concern usually appears in the deal

BUYER CONCERN	LIKELY DEAL EFFECT
Lower sustainable earnings	The buyer deducts the cost of replacing roles the owner performed.
Higher perceived risk	The valuation multiple may be lower, even where reported profit is unchanged.
Deferred consideration	More of the price may depend on an earn-out, retention or customer continuity.
Longer handover	The owner may be required to remain for longer than intended.

SALEABILITY

1 The business a buyer can actually buy

A strong income for the owner may still be a weak transferable asset.

Many owner-managed businesses work because the owner is the chief salesperson, negotiator, credit controller, problem-solver and final approver. That can be efficient while the owner is present. During a sale, the same concentration becomes a single point of failure.

A buyer is not purchasing the years already worked. The buyer is purchasing the right to future cash flows, together with the people, systems, contracts, assets and working capital required to produce them. If that package is incomplete, the price or deal terms will change.

Three different things can sit behind the same reported profit

POSITION	WHAT A BUYER SEES
Transferable business	Customers, decisions and delivery sit in the organisation. The owner can leave after a planned handover.
Transferable with conditions	The business has value, but a buyer needs a longer handover, retention terms or an earn-out.
Owner-dependent income	A material part of revenue, knowledge or daily control may leave with the owner.

The 90-day absence test

Assume the owner is unexpectedly unavailable for 90 days. Ask whether the business can still:

- win and renew material customer work without relying on the owner's personal promise;
- set prices, approve exceptions and protect gross margin;
- schedule work, manage quality, resolve staff issues and meet delivery commitments;
- collect debtors, manage suppliers and maintain a credible cash forecast; and
- explain performance to a lender or buyer using records rather than the owner's memory.

A PRACTICAL WARNING	If the honest answer is 'the owner would handle it by phone', the business has not yet passed the test.

2 Start with transferable earnings

Reported profit must be converted into a defensible view of maintainable performance.

A buyer will normally reconstruct the economic performance of the business. The objective is not to produce the highest possible adjusted profit. It is to establish what the business can reasonably earn under new ownership, on normal commercial terms.

A disciplined earnings bridge

STEP	BUYER QUESTION
1. Reported result	Start with a consistent operating-profit or EBITDA measure that reconciles to the accounts.
2. Genuine adjustments	Add back documented once-off or personal costs; remove non-operating or exceptional income.
3. Commercial normalisation	Restate owner pay, related-party rent and other terms to realistic market levels.
4. Owner replacement	Deduct the fair cost of the sales, management, technical or finance roles the owner performs.
5. Sustainability test	Challenge temporary margin, unusual orders, fragile contracts and unrepeatable cost savings.

Adjustments that often fail under scrutiny

- A once-off cost that appears every year under a different description.
- Personal expenses with no invoices, schedules or clear separation from business costs.
- An owner salary added back without deducting the cost of the person who must replace the owner.
- A forecast that assumes growth but excludes the working capital, people or capital expenditure needed to deliver it.
- A margin improvement supported by one exceptional customer, price increase or supplier concession.

CFO TEST	Every adjustment should have an explanation, evidence, a recurring-or-once-off classification and a clear effect on future cash generation.

Enterprise value is not the cash the seller receives. Debt, surplus cash, normal working capital, tax, transaction costs and deal-specific adjustments still have to be considered.

A buyer's financial review may test monthly bank reconciliations, debtor and creditor ageing, tax filing and payment status, related-party balances, shareholder loans, deferred income and unfulfilled customer prepayments. The level of assurance required depends on the transaction; 'audit-quality from day one' is not a universal rule.

3 The owner-dependency test

Test evidence, not confidence.

Owners often believe the business can function without them because staff handle many daily tasks. A buyer will look further: who holds the authority, relationships, judgement and knowledge when something important goes wrong?

AREA	EVIDENCE QUESTION
Customers	Who can win, price, renew and recover the top customer relationships without the owner?
Decisions	Which commercial, credit, purchasing and hiring decisions still require personal approval?
Delivery	Can managers plan capacity, resolve quality problems and protect margin independently?
Cash	Who owns debtor collection, supplier terms, banking controls and the cash forecast?
Knowledge	Are critical processes, pricing logic, supplier alternatives and obligations documented?
Leadership	Can the management team explain results, forecasts, risks and action plans to a buyer?
Continuity	Has the business completed a real owner-absence test without performance deteriorating?

Build an owner role and replacement-cost map

List every recurring role the owner performs, the hours or decision load involved, the capability required and who could take it over. Then estimate a realistic annual replacement cost. Several part-time owner roles may require two full-time hires, or a stronger manager plus specialist support.

DO NOT CONFUSE DELEGATION WITH TRANSFER	A task is not transferred while the employee still depends on the owner for the judgement, relationship or final decision behind it.

A credible result

The objective is not to make the owner irrelevant. It is to ensure that the business can continue to perform while the owner moves from daily operator to governed handover role.

A business that can operate independently of the owner may support a stronger valuation multiple or better deal terms. The effect is transaction-specific; there is no defensible automatic 20–50% valuation uplift.

4 Seven risks a buyer will price

Weakness does not always stop a sale; it changes who carries the risk.

RISK	WHAT THE BUYER SEES
1. Owner-held relationships	Customers and suppliers deal with the owner personally; the team has limited independent standing.
2. Customer concentration	The loss of one customer would materially reduce profit, cash flow or debt-service capacity.
3. Thin management	Key roles have no capable deputy, retention plan or documented authority.
4. Unreliable numbers	Late closes, changing classifications and unsupported add-backs weaken confidence in earnings.
5. Low revenue repeatability	Sales depend on once-off projects, informal renewals or an unpredictable pipeline.
6. Transfer restrictions	Contracts, leases, licences, IP or distribution rights may not survive the transaction.
7. Hidden cash claims	Tax, debtors, creditors, leave, capex and normal working capital can reduce the amount ultimately received.

How risk moves into the transaction

- a lower view of maintainable earnings or a lower valuation multiple;
- an earn-out linked to customer retention, revenue or profit after transfer;
- a holdback, escrow, warranty or indemnity for identified exposures;
- a longer owner employment, consulting or restraint period; or
- a decision not to proceed if the risk cannot be verified or transferred.

There is no universal safe percentage for customer concentration. Sector, contract length, switching cost, margin and the strength of the relationship all matter. The useful test is the effect of loss on earnings and cash.

Treat concentration as a quantified scenario, not a universal 15% trigger or an automatic 20–40% valuation discount. Model the profit, cash and replacement-time effect if a material customer is lost.

Popular international claims that 70% of small businesses do not sell, or that half or 60% of M&A deals fail during due diligence, are not reliable South African SME benchmarks. They use unclear methods or mix an abandoned deal with post-acquisition underperformance. The defensible lesson is to prove saleability and evidence readiness.

WORKED EXAMPLE

5 Same profit, different value

The replacement-cost adjustment can change the outcome before any risk discount is applied.

Business A and Business B each report annual revenue of R12.0 million and EBITDA of R2.2 million. Their industries and growth prospects are assumed to be similar. The difference is what a buyer must replace and what is likely to transfer.

MEASURE	BUSINESS A: OWNER-DEPENDENT	BUSINESS B: MANAGEMENT-RUN
Reported revenue	R12.0m	R12.0m
Reported EBITDA	R2.2m	R2.2m
Owner salary included	R0.6m	Owner is not operational
Fair cost to replace owner role	R1.2m	Already included in costs
Maintainable EBITDA after replacement	R1.6m	R2.2m
Largest customer	32% of revenue; owner-held	9% of revenue; team-held
Recurring or contracted revenue	25%	65%
Management continuity	Owner approves key decisions	Management runs within clear limits

Illustrative value effect

At the same purely illustrative multiple of 3.0 times maintainable EBITDA, Business A indicates R4.8 million and Business B R6.6 million—a R1.8 million gap created by the owner replacement cost alone.

The buyer may still apply a lower multiple to Business A or defer part of the price because of customer concentration and transition risk. Business B may attract stronger terms because the earnings are supported by a team, broader customers and repeatable revenue.

IMPORTANT	The 3.0 times multiple is an illustration, not a South African market benchmark or a valuation. Industry, size, growth, risk, assets, working capital and buyer appetite determine the appropriate method and range.

The indicated figures are enterprise values before debt, cash, normal working-capital adjustments, tax, transaction costs and deal-specific terms.

6 A 24-month sale-readiness plan

The slowest weaknesses to repair are management depth, customer transfer and reliable evidence.

First 90 days: establish the real position

- Map the owner's roles, decision rights, relationships and annual replacement cost.
- Prepare a three-year monthly earnings bridge with documented adjustments and gross-margin analysis.
- Measure customer concentration, repeat revenue, contract coverage, debtor quality and pipeline reliability.
- Create a register of tax, CIPC, employment, lease, licence, IP and material contract matters.

Months 4 to 12: transfer capability

- Delegate pricing, credit, purchasing and people decisions within written limits.
- Move key customer and supplier relationships from one-to-one owner contact to team-based ownership.
- Document the few processes whose failure would stop sales, delivery, quality or cash collection.
- Strengthen monthly management accounts, the 13-week cash forecast and operational KPIs.
- Resolve known tax, employment, corporate-record and contract gaps while time is still available.

Months 13 to 24: prove transferability

- Run a planned owner-absence test and record what failed, slowed or still returned to the owner.
- Require management to lead customer reviews, forecasts, budget decisions and performance explanations.
- Confirm that important contracts, leases, licences and intellectual property are documented and transferable.
- Build a controlled due-diligence file and obtain an independent valuation or valuation range.
- Decide the preferred exit route, buyer profile, handover period, minimum terms and walk-away conditions.

MANAGEMENT BENEFIT NOW	The same work that improves saleability also reduces key-person risk, strengthens control and gives the owner more freedom before any sale occurs.

The 24-month period is a practical preparation horizon, not a guarantee of a sale, a higher multiple or a faster close. Starting earlier provides time to transfer relationships and produce evidence across several reporting periods.

Professional fees vary materially with record quality, deal size, assurance level and legal complexity. Obtain scoped quotations from the accountant, valuer, attorney, tax practitioner and transaction adviser; fixed national cost ranges are not reliable.

TAX AND EVIDENCE

7 The 2026 tax context and buyer due diligence

Treat tax as a specialist workstream, not as the reason to sell.

What changed from 1 March 2026

MEASURE	PREVIOUS	2026
Lifetime small-business capital-gain exclusion	R1.8 million	R2.7 million
Market value ceiling for all business assets	R10 million	R15 million

The R2.7 million is a lifetime exclusion of qualifying capital gains—not R2.7 million of sale proceeds and not a tax rebate. The R15 million ceiling concerns the market value of business assets, not the owner's equity value; liabilities do not reduce the asset-value test.

Why specialist advice is needed

- The relief is for a natural person and contains detailed requirements relating to qualifying assets or interests, the holding period, substantial involvement and the circumstances of disposal.
- Paragraph 57 also addresses disposals consequent on ill-health, other infirmity, superannuation or death. These are legal terms and this report does not interpret them.
- A shareholder sale and a company sale of business assets can produce materially different tax and legal outcomes.
- The purchase price, enterprise value, equity value and asset-market-value threshold are not the same number.
- Transaction timing, instalments, debt, working capital and warranties can affect the cash the seller ultimately retains.

The buyer's evidence pack

AREA	WHAT SHOULD BE READY
Financial	Annual and monthly results, normalisation schedule, bank reconciliations, forecasts, aged debtors and creditors, cash, debt, capex, deferred income and customer prepayments.
Commercial	Sales and margin by customer, contracts, pipeline, retention, pricing, suppliers and concentration risks.
Corporate and tax	CIPC records, share register, beneficial ownership, related-party balances, shareholder loans, tax compliance, returns, assessments and disputes.
People and legal	Organisation, employment terms, restraints, leave, licences, IP, leases, claims and change-of-control clauses.

Weak evidence can delay, reprice or stop a transaction. Use confidentiality protections, staged disclosure and controlled data-room access. AI can help index the file and flag gaps; it cannot verify undisclosed liabilities, determine a defensible valuation or replace legal, tax and transaction judgement.

Tax amounts checked 3 August 2026 against SARS CGT guidance and National Treasury's Budget 2026 Tax Guide. This summary is not an eligibility checklist.

CLOSING PERSPECTIVE

8 Conclusion and related reading

The best exit preparation starts while there is still time to change the business.

A saleable SME is not one that merely shows a profit. It is one where the profit can be explained, repeated and transferred; where the operating capability sits in a team and systems; and where a buyer can verify the claims without depending on the owner's assurances.

The owner-dependency question can be uncomfortable because the dependence often reflects years of responsible involvement. The objective is not to diminish that contribution. It is to convert it into processes, relationships, authority and evidence that another owner can rely on.

Six questions to answer this quarter

1. What annual cost would a buyer incur to replace everything I currently do?
2. Which customers, suppliers and employees remain dependent on me personally?
3. Can three years of monthly results support a defensible maintainable-earnings figure?
4. What would fail during a 90-day absence, and who owns the corrective action?
5. Which tax, legal, contract or working-capital matters could reduce the price or delay completion?
6. What must be measurably different 24 months from now?

Related reading

CARRON INSIGHT	WHY IT IS RELEVANT
Can Your Business Afford to Grow?	A financial decision framework for growth commitments.
Profitable But No Money in the Bank	Why accounting profit and available cash tell different stories.
The Customer You Cannot Afford to Lose	How customer concentration can become a financial risk.

This report provides general business and financial education only. It is not tax advice, a tax calculation, an eligibility assessment, transaction structuring, a business valuation, legal advice or a recommendation to sell. Do not rely on it to decide how or when to transact. A proposed sale should be assessed by a SARS-registered tax practitioner and suitably qualified valuation, legal and transaction advisers.

The 2026 increase to R2.7 million and R15 million is conditional relief, not a general 'exit window' and not a promise of tax efficiency. Commercial saleability and transaction-specific professional advice come first.

Our full-length articles and downloadable PDF reports are available on the Carron Business Advisory Insights page:
https://www.carron.co.za/insights

PRACTICAL TOOL

Sale-Readiness Decision Record

A one-page management record for an owner, board or advisory review.

Business / entity: ______________________________________ Review date: __________________

Preferred route: Third-party sale / Management buy-out / Family succession / Undecided

DECISION AREA	MANAGEMENT RECORD
Exit horizon	Target date, reason and preferred handover period ____
Owner role and replacement cost	Roles performed, capability required and estimated annual cost ____
Maintainable earnings	Basis, period, adjustments, replacement cost and evidence ____
Customer and revenue risk	Largest customers, owner-held relationships, contracts and repeatability ____
Management continuity	Who can run the business for 90 days and what still returns to the owner ____
Evidence readiness	Financial, tax, corporate, legal, people, IP and contract gaps ____
Deal risks	Working capital, debt, tax, liabilities, transfer restrictions and likely buyer protections ____
Tax and structure advice	Advisor, date obtained and unresolved questions ____

Next 90-day actions

1. ________________________________ Owner: ____________ Due: _________
2. ________________________________ Owner: ____________ Due: _________
3. ________________________________ Owner: ____________ Due: _________

Decision status: Not sale-ready / Preparing / Ready for valuation / Market-ready